

them to expand rapidly,” he adds. Clearly, with the market becoming more organised, an evolved consumer and the willingness to spend helped. “In today’s time when the consumer is looking at a branded, hygienically ready-to-cook option, Licious stepped in with the offerings and quickly scaled up across many cities.”

Today, India is a very aspirational market, and it is not just about being cheap or affordable, says Gupta. He picks out a category like *atta* as one that is getting more organised. “More people are buying iPhones or wearing Levi’s jeans. The human psyche is always about wanting to consume better and as categories get more organised, that gets more obvious,” he says. The trick is to get it right on quality—never an easy thing to do—and that is what will drive the spend. Consumer expectations from this business are only getting higher and

WHAT’S ON THE MENU

₹2,500-3,000 crore

The size of India’s online meat and seafood market in 2023

15-20%

The likely growth online meat and seafood market will see in 2024

Challenges

Growing the customer base

Solution

Slow growth in the purchase frequency can be addressed by quick commerce

SOURCE DATUM INTELLIGENCE

Hanjura says rising costs do not mean you can knock off a slice of salami. “This is a high-stakes category, and we must consistently improve and add value. We started by selling the most hygienic chicken to one that was fresh and now it is about being the juiciest.”

Licious slowly expanded into markets like Mumbai, Delhi, and Kolkata. “They spent a lot of time understanding Bengaluru, and that was a very smart thing to do since it became a playbook. Understanding logistics and supply chain has strengthened their position and often, the challenges of entering this business are vastly underestimated,” says Siddarth Pai, Founding Partner, 3one4 Capital, an early-stage Bengaluru-based VC firm and an investor in Licious. He emphasises that the importance of understanding a target market is key, along with getting it right on the process. “An efficient supply chain brings down costs, and then it comes down to managing raw material costs. The process part in this business is actually as important, if not more than the proteins.”

The concept of premium threw up a few pleasant surprises. Kolkata was a case in point where it was not expected to work. “The response was so good that we opened a processing plant in the second month. Today, we have a very large share of the ready-to-cook segment, apart from a healthy piece of the mutton market,” says Hanjura.

THE OFFLINE OPPORTUNITY: MUCH AT STEAK

Though the Licious brand has established itself, it still has a limitation in terms of only being available online. Also, the booming online meat and seafood market is crowded with players like FreshToHome, Jalongi, Zap-fresh, to name a few. While the online meat and seafood market in India is growing faster (15-20%) than the offline market (nearly 6%), the size of the online market is negligible (0.31%) compared to the offline market.

Gupta says going offline will give the brand more visibility. To Hanjura, it is a natural evolution for the brand. The promise is a very sophisticated experience, not a wet market. “You can ask for cuts and get it all in a sealed packaging. It will be a fun way to shop,” says Gupta. Soon, Licious will own the stores, and in a city like Bengaluru, where real estate is still affordable (compared to Delhi and Mumbai), the stores will be spread over an area of 700-800 sq. ft, he says. “We